

24STCV18563 24STCV18563

County: los-angeles

Division: Civil Law and Motion

Department: 224

Hearing date: 2026-08-04

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C224%2C08%2F04%2F2026

Source SHA-256: b84627d02e74b0b974da494957f42791bf5a4fd530519cf9bc77a2f8e2760d9f

Case Number: 24STCV18563 Hearing Date: August 4, 2026 Dept: 224

Maia v. Marianne McKinney et al.,

FINAL RULING

The Court SUSTAINS Defendant's Demurrer to the second, third, and eighth causes of action with 40 days leave to amend. The Court OVERRULES the Demurrer as to the first, and fourth through seventh causes of action.

The Case Management Conference scheduled for September 29, 2026 at 8:30 a.m. is continued to November 23, 2026 at 8:30 a.m.

I. INTRODUCTION

This case arises from the alleged business and employment relationship between Plaintiff Nathalia Maia ("Plaintiff") and Defendants Marianne KcKinney and Gente, Inc. ("Defendants"). (SAC, ¶ 3.) Defendant McKinney recruited Plaintiff to be a founding member in Defendant Gente, Inc. (Id. at ¶ 8.) Defendant McKinney induced Plaintiff to join her by promising that they would be partners, Plaintiff would have a say in all decisions, that decisions would be made by both Plaintiff and McKinney, that Plaintiff would have access to all business information, that Plaintiff would be paid a salary for her work, and that the company would follow their business plan. (Id. at ¶ 11.) Plaintiff alleges that once their product was manufactured and ready to ship to customers, McKinney froze Plaintiff out of Gente management on or about October 17, 2022. (Id. at ¶ 21.) McKinney voted Plaintiff off the Board of Directors and then removed Plaintiff from each of her officer roles and employment role. (Id. at ¶ 22.) Plaintiff also did not receive compensation for the services she performed. (Id. at ¶ 31.)

On July 26, 2024, Plaintiff filed a Complaint. On February 18, 2026, Plaintiff filed a First Amended Complaint ("FAC"). On April 21, 2026, the Court sustained a demurrer to the FAC in its entirety with leave to amend.

On May 11, 2026, Plaintiff filed the operative Second Amended Complaint ("SAC") alleging (1) misrepresentation; (2) breach of fiduciary duty; (3) unpaid wages (written contract); (4) unpaid wages (oral contract); (5) unpaid wages (quantum meruit); (6) overtime; (7) missed meal and rest periods; and (8) wrongful termination in violation of public policy.

On June 12, 2026, Defendants filed this Demurrer to all eight causes of action in the SAC.

On July 21, 2026, Plaintiff filed an opposition.

On July 28, 2026, Defendants filed a reply.

On August 4, 2026, Defendant lodged a flash drive in support of their Demurrer.

II. REQUEST FOR JUDICIAL NOTICE

Defendants request the Court take judicial notice of Gente, Inc.'s Certification of Incorporation. The Court grants this request for judicial notice pursuant to Evidence Code section 452(c).

III. LEGAL STANDARD

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not the evidence or facts alleged." (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations.

(*Ibid.*) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

"The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in section 430.30, to the pleading on any one or more of the following grounds... (e) the pleading does not state facts sufficient to constitute a cause of action. (f) The pleading is uncertain. As used in this subdivision, "uncertain" includes ambiguous and unintelligible." (Code Civ. Proc. [AW13.1]§ 430.10.) "[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond." (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal. App. 5th[AW14.1] 677, 695.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.* [AW15.1]; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245).

IV. DISCUSSION

Defendants demur to all eight causes of action in the SAC.

A. First Cause of Action for Misrepresentation

Defendants argue that the SAC does not plead fraud by misrepresentation with the requisite specificity and does not plead any of the purported misrepresentations. Also, Plaintiff does not allege how the misrepresentations caused her damages.

In opposition, Plaintiff alleges that Plaintiff identifies the speaker, recipient, time period, purpose, and specific content of the misrepresentations. Plaintiff alleges that the SAC lists the specific promises that Defendant McKinney made. Plaintiff also adequately alleged damages resulting from the misrepresentations, including unpaid salary and wages, the reasonable value of services rendered, lost compensation, lost employment and business opportunities, out-of-pocket expenses, loss of access to business information, loss of promised management participation, dilution of the value of her participation, and other damages.

In California, fraud must be pled specifically; general and conclusory allegations do not suffice. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered. (*Ibid.*) “A plaintiff’s burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Ibid.*)

The SAC states “from in or about February, 2021 through at least during and after Gente was incorporated in or about April 2021, Defendant McKinney made false representations of material fact to Plaintiff including, but not limited to the following: That Plaintiff and McKinney would be partners; That Plaintiff would have a say in all of the decisions; That all decisions would be made between both Plaintiff and McKinney; That Plaintiff would have access to all information about the business; That Plaintiff would be paid a salary for her work; and That the Company would follow the Business Plan, (Exhibit “D” attached hereto).” (SAC, ¶ 39.) The SAC also alleges: “All of the foregoing promises were made by McKinney to Plaintiff. All of these promises were made with McKinney’s intent to persuade Plaintiff to go into business with McKinney. All of the promises were made prior to Plaintiff agreeing to partner with McKinney.” (*Id.* at ¶ 12.) The SAC also alleges that McKinney is a founder or co-founder of Gente. (*Id.* at ¶ 18.) The SAC also alleges that Plaintiff suffered damages as a result. (*Id.* at ¶¶ 44-46.) Because Plaintiff lists the specific misrepresentations made by McKinney to Plaintiff, when the misrepresentations were made, that McKinney had authority to speak, and damages, Plaintiff has plead fraud with specificity.

Accordingly, the Court OVERRULES the demurrer to the first cause of action.

B. Second Cause of Action for Breach of Fiduciary Duties

Defendants argue that the Court should dismiss this cause of action because corporations do not owe fiduciary duties to shareholders, executives, or directors; rather, executives and directors owe duties to the corporation. Defendants argue that Plaintiff’s claims should be brought derivatively, not directly.

In opposition, Plaintiff argues she does not seek recovery solely for harm suffered by Gente, nor does Plaintiff seek recovery for a generalized diminution in corporate value shared equally by all stockholders. Plaintiff seeks redress for Defendants’ direct misconduct toward her, including exclusion from participation, denial of access to company information, deprivation of promised ownership-related rights and benefits, and interference with Plaintiff’s ability to protect her individual interest. Plaintiff alleges that she personally suffered harm from Defendants’ conduct and any recovery for those injuries would flow directly to Plaintiff.

For this cause of action, both parties make arguments pursuant to Delaware law for Delaware corporations. The SAC alleges that the cause of action is allowed under Delaware law. (SAC, ¶ 37.) Under Delaware law, the directors’ fiduciary duties run to the corporation and its stockholders. (*McRitchie v. Zuckerberg* (Del. Ch. 2024) 315 A.3d 518, 536–537.) Whether a claim may be brought derivatively or directly is “an issue that must turn solely on the following questions: (1) who suffered the alleged harm (the corporation or the suing stockholders, individually); and (2) who would receive the benefit of any recovery or other remedy (the corporation or the stockholders, individually)” (*Tooley v. Donaldson, Lufkin & Jenrette, Inc.* (Del. 2004) 845 A.2d 1031, 1033.) The stockholder must demonstrate that the duty breached was owed to the stockholder and that he or she can prevail without showing an injury to the corporation. (*Id.* at p. 1039.)

Here, Plaintiff has alleged that Plaintiff suffered the harm and would receive the benefit of the recovery. The SAC alleges:

“Such wrongful conduct included, but is not limited to, the following: excluding Plaintiff from participation in the management and affairs of the Company; removing or substantially interfering with Plaintiff’s role, authority, and/or employment with the Company without legitimate business justification; denying Plaintiff access to the Company’s books, records, and financial information; usurping corporate opportunities for their own benefit; causing Gente to withhold distributions or dividends to Plaintiff, engaging in acts intended to dilute, devalue, or eliminate Plaintiff’s ownership interest in the Company and otherwise acting in bad faith and in a manner oppressive to Plaintiff’s rights as a shareholder.” (SAC, ¶ 54.)

The SAC also alleges:

“As a direct and proximate result of the wrongful conduct of Defendants, and each of them, Plaintiff has been damaged in being excluded from corporate management or decision making and being denied access to corporate books and records. Plaintiff has further suffered, without limitation, loss of salary, compensation, dividends, and other economic benefits, as well as a diminution in the value of Plaintiff’s ownership interest in the Company, all in an amount according to proof.” (Id. at ¶ 56.)

Because Plaintiff has alleged direct harms to Plaintiff, rather than harms to the corporation itself, Plaintiff has alleged a direct cause of action for fiduciary duties. However, at oral argument, Plaintiff argued that the source of the duties, and whether those flowed from the corporation to the Plaintiff or between Plaintiff and the individual Defendants remained defective.

Accordingly, the demurrer to the second cause of action is SUSTAINED with 40 days leave to amend.

C. Third Cause of Action for Unpaid Wages under a Written Contract

Defendants argue that the attached “Business Plan” is not a real contract because it lacks essential terms and characteristics of an enforceable contract in every respect. Defendants argue the “Business Plan” is so uncertain and indefinite that the intention of the parties cannot be ascertained.

In opposition, Plaintiff contends that Plaintiff has alleged the existence of a written agreement and the legal effect of the agreement.

“To establish a cause of action for breach of contract, the plaintiff must plead and prove (1) the existence of the contract, (2) the plaintiff’s performance or excuse for nonperformance, (3) the defendant’s breach, and (4) resulting damages to the plaintiff.” [Citation.]” (Maxwell v. Dolezal (2014) 231 Cal.App.4th 93, 97-98.) “If the action is based on an alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference.” (Harris v. Rudin, Richman & Appel (1999) 74 Cal.App.4th 229, 307.) “A written contract may be pleaded either by its terms – set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference – or by its legal effect. [Citations.]” (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1489.)

Here, the SAC states: “The Business Plan (see Exhibit “D” pp. 21-22 attached hereto) memorialized the terms of the employment agreement between Gente and Plaintiff whereby Gente agreed to pay Plaintiff for services she rendered on behalf of Gente and to provide other benefits to Plaintiff including, without limitation, medical insurance in the minimum amount of \$10,000 per year. (See Exhibit “D” attached hereto.)” (SAC, ¶ 61.) However, no Business Plan is attached as Exhibit D, nor is there a business plan included on pages 21-22. Exhibit D is entitled “Form of Subscription Agreement,” and then nothing is attached. There are agreements attached to the SAC that are not listed as exhibits. It is unclear what agreement or business plan Plaintiff is referencing.

However, Plaintiff is not required to attach the contract or state the terms verbatim. Plaintiff may plead the contract by its legal effect. (McKell, supra, 142 Cal.App.4th at p. 1489.) Plaintiff has plead that the legal effect of the written contract was that Plaintiff was to be paid and provided benefits for the services she rendered to Defendant. However, the Court notes that the excel sheet which Plaintiff alleges is the written contract alone was attached. Therefore, Plaintiff opted to plead the legal effect, but also then attached a document that she claims constitutes the contract. The document she claims is the contract, does not set out the terms which she alleges should be given legal effect. To the extent the written terms are contained in numerous documents Plaintiff is granted leave to amend to clarify what documents constitute the written contract, and the written terms which should be given legal effect.

Accordingly, the demurrer to the third cause of action is SUSTAINED with 40 days leave to amend.

D. Fourth Cause of Action for Unpaid Wages under an Oral Contract

Defendants argue that there is no valid oral contract and that the purported oral contract is extremely vague and uncertain. Defendants also argue that the audio of the cited Zoom meeting does not indicate agreement and consent between Plaintiff and Defendant.

In opposition, Plaintiff argues that she has adequately pled the existence of an oral contract to be compensated for her work. Defendants' extrinsic arguments are not proper at the demurrer stage. Nor can the court listen to the audio of the Zoom meeting that was lodged today, and consider that on Demurrer. The Court is limited to the allegations in the four corners of the Complaint and does not resolve factual issues on Demurrer.

When an action is "founded upon a contract," the complaint is subject to demurrer if "it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct." (Maxwell v. Dolezal (2014) 231 Cal.App.4th 93, 98.) An oral contract may be pleaded generally as to its effect, because it is rarely possible to allege the exact words. (Khouri v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures. (Ibid.)

The SAC alleges that Plaintiff and Defendants entered an oral employment agreement on or about May 10, 2021, whereby Plaintiff agreed to "perform services for Defendants in developing Product, arranging and overseeing the manufacture of Product and obtaining contracts for the purchase of the Product." (SAC, ¶ 70.) The SAC also alleges that, pursuant to the oral agreement, "Defendants agreed to pay Plaintiff compensation in an amount equivalent to what similar business owners elected to be paid for similar services, together with such additional compensation and benefits as agreed between the parties." (Id. at ¶ 71.)

The Court finds that Plaintiff has pled the general effect of the oral contract. To the extent Defendants request that the Court find that no oral agreement occurred on the Zoom on May 10, 2021, that request is beyond the scope of what may be considered on demurrer. Any ambiguities in Plaintiff's pleading may be clarified through discovery. (Khouri, supra, 14 Cal.App.4th at p. 616.) Accordingly, the demurrer to the fourth cause of action is overruled.

E. Fifth Cause of Action for Unpaid Wages under Quantum Meruit

Defendants argue Plaintiff does not plead any express agreement. Because quantum meruit is quasi-contractual and based upon implication, it is by definition not an express agreement. Defendant argues that, absent an express agreement, a partner such as Plaintiff, is not entitled to compensation.

In opposition, Plaintiff argues that Defendants misunderstand Plaintiff's claim. Plaintiff contends that quantum meruit is not dependent on the existence of an enforceable express contract but, rather, it permits recovery for the reasonable value of services rendered under circumstances showing that the services were not gratuitous.

Quantum meruit permits the recovery of the reasonable value of services rendered. (Pacific Bay Recovery, Inc. v. California Physicians' Services, Inc. (2017) 12 Cal.App.5th 200, 214.) To recover in quantum meruit, the "plaintiff must establish both that he or she was acting pursuant to either an express or implied request for such services from the defendant and that the services rendered were intended to and did benefit the defendant"; further, the defendant must have "retained [the] benefit with full appreciation of the facts..." (Ibid.) The theory of quasi-contractual recovery is that one party has accepted and retained a benefit with full appreciation of the facts, under circumstances making it inequitable for him to retain the benefit without payment of its reasonable value. (Day v. Alta Bates Medical Center (2002) 98 Cal.App.4th 243, 248.) The measure of recovery in quantum meruit is the reasonable value of the services rendered, provided they were of direct benefit to the defendant. (Id. at p. 249.) There must be either an explicit or implicit request for the services such that "a recipient of services performed either requested or acquiesced in them...." (Ibid.) A trial court commits reversible error by sustaining a general demurrer to claimant's common count in quantum meruit on asserted ground that claimant sought the same compensation as

that alleged in two counts of complaint to recover on express contracts. (*White Lighting Co. v. Wolfson* (1968) 68 Cal.2d 336, 346.)

First, the Court disagrees with Defendants' contention that to be compensated as a partner, there must be an express agreement. "It is the general rule that in the absence of an express or implied agreement to the contrary, a partner is not entitled to compensation for acting in the partnership business." (*Van Ruiten v. Van Ruiten* (1969) 268 Cal.App.2d 619, 624.) Accordingly, implied contracts are also sufficient.

Second, the Court finds that the SAC sufficiently states a cause of action in the alternative for quantum meruit. The SAC alleges that Plaintiff performed work, labor, and services for Defendants at Defendants' special instance and request. (SAC, ¶ 82.) The SAC alleges that Plaintiff rendered valuable services to Defendants including developing Product, arranging and overseeing the manufacture of Product, and obtaining contracts for the purchase of the Product for the benefit of the Defendants. (Id. at ¶¶ 83-84.) Plaintiff has alleged that the reasonable value of the services Plaintiff performed, is at least \$350,000 annually. (Id. at ¶ 87.)

Accordingly, the Court **OVERRULES** the demurrer to the fifth cause of action.

F. Sixth Cause of Action for Unpaid Overtime and Seventh Cause of Action for Missed Meal and Rest Periods

Defendant argues that the Court should dismiss the sixth and seventh causes of action because Plaintiff was an executive of Gente. California exempts executives from overtime and meal-and-rest laws. Plaintiff admits that she was an executive, co-president, and member of the board of directors.

In opposition, Plaintiff contends that she did not refer to herself as a partner, but rather that she was promised a partnership role that never materialized. Also, Plaintiff's alleged "executive" status does not render her ineligible for overtime, meal periods, and rest periods.

Labor Code section 510 defines a workday as eight hours and states the compensation to be paid for hours worked in excess of eight hours. (Lab. Code, § 510.) "The Industrial Welfare Commission may establish exemptions from the requirement that an overtime rate of compensation be paid pursuant to Sections 510 and 511 for executive, administrative, and professional employees, if the employee is primarily engaged in the duties that meet the test of the exemption, customarily and regularly exercises discretion and independent judgment in performing those duties, and earns a monthly salary equivalent to no less than two times the state minimum wage for full-time employment." (Lab. Code, § 515, subd. (a).)

Labor Code section 512 requires employers to provide a meal period of at least 30 minutes to any employee working more than five hours per day, and a second meal period for shifts exceeding ten hours. (Lab. Code, § 512, subd. (a).) This section does not apply to an employee who is exempt from meal or rest requirements. (Lab. Code, § 226.7, subd. (e).)

Under California law, employees are entitled to overtime pay for any work in excess of eight hours in one workday, or 40 hours in any one workweek, unless the employer affirmatively establishes that the employee qualifies for a statutory exemption. (*Heyen v. Safeway Inc.* (2013) 216 Cal.App.4th 795, 816.)

Whether Plaintiff was a partner or an executive and, thus, exempt from overtime and meal and rest breaks is a factual determination that the Court will not decide on demurrer. It is an alternative theory of liability. Moreover, Defendants must affirmatively establish that the employee qualifies for a statutory exemption.

Accordingly, the Court **OVERRULES** the demurrer to the sixth and seventh causes of action, at this stage.

G. Eighth Cause of Action for Wrongful Termination in Violation of Public Policy

Defendant argues that Plaintiff does not cite any constitutional or statutory provisions that was purportedly violated. Defendant argues that unwillingness to compensate Plaintiff is a fundamental public policy. Also, the SAC does not plead facts that Defendants terminated Plaintiff in retaliation against Plaintiff.

In opposition, Plaintiff contends that she alleges more than a routine termination. Plaintiff argues that it is contrary to public policy to permit controlling participants in a company to use their power to induce substantial services from a minority participant, deprive her of compensation, remove her, and then avoid all accountability by shifting labels of Plaintiff's role.

When an employer's discharge of an employee violates fundamental principles of public policy, the discharged employee may maintain a tort action and recover damages traditionally available in such actions. (*Tameny v. Atlantic Richfield Co.* (1980) 27 Cal.3d 167, 170.) A claim for wrongful discharge in violation of public policy requires proof that (1) Plaintiff was employed by employer, (2) employer discharged her, (3) a violation of public policy substantially motivated the discharge, and (4) the discharge caused harm to her. (*Diego v. Pilgrim United Church of Christ* (2014) 231 Cal.App.4th 913, 920.) Plaintiff must show that the important public interests she seeks to protect are tethered to fundamental policies in the statutes which she relies. (*Id.* at pp. 920-921.) More specifically, to be actionable, the discharge must violate a policy that is "(1) delineated in either constitutional or statutory provisions; (2) 'public' in the sense that it 'inures to the benefit of the public' rather than serving merely the interests of the individual; (3) well established at the time of the discharge; and (4) 'substantial' and 'fundamental.'" (*Id.* at p. 921.)

The SAC alleges: "Defendants' action of terminating Plaintiff were for reasons violating public policy including: (i) Defendants' unwillingness to pay Plaintiff compensation for her services; and (ii) to retaliate against Plaintiff for seeking to exercise her rights to access information regarding her investment. Defendants had no legitimate grounds for terminating Plaintiff's employment." (SAC, ¶ 107.) Plaintiff does not show that the public interests she seeks to protect are tethered to fundamental policies, either constitutional or statutory provisions.

(*Diego*, supra, 231 Cal.App.4th at pp. 920-921.) Nor does Plaintiff allege facts that the interests are public, rather than merely Plaintiff's interests or that the policy was established at the time of discharge. (*Ibid.*)

Accordingly, the Court SUSTAINS the demurrer to the eighth cause of action with leave to amend.

V. CONCLUSION

The Court SUSTAINS Defendant's Demurrer to the second, third, and eighth causes of action with 40 days leave to amend. The Court OVERRULES the Demurrer as to the first, and fourth through seventh causes of action.

The Case Management Conference scheduled for September 29, 2026 at 8:30 a.m. is continued to November 23, 2026 at 8:30 a.m.

Defendants are to give notice.